Activity 1: Renew a Critical Ingredient Supply Agreement

TSC mapping: K1 | K2 | A1 | A3 Objective: Define commercial outcomes, BATNA, reservation point, ZOPA hypotheses and evidence needs before a supplier renewal. Expected output: A two-page preparation brief approved by the procurement sponsor. Primary source: https://asana.com/resources/negotiation-skills

Goal

Act as the procurement team of a Singapore café group renewing a high-volume oat-milk supply agreement after demand growth and freight volatility.

Real-world scenario

Real-world use case: supplier renewals commonly combine price, volume, quality, continuity, forecasting and relationship interests. The scenario is a realistic composite rather than a claim about a named company.

HarbourBean operates eight cafés. Its oat-milk agreement expires in six weeks. The incumbent supplier offers reliable quality but proposes a price increase and a minimum monthly volume. Operations wants continuity; Finance wants price discipline; Marketing wants sustainability evidence. A second supplier can cover only part of demand initially.

Evidence boundary

The business setting is a realistic composite. Numerical and organisational inputs created for practice are labelled as training assumptions and must not be presented as real company facts.

Training assumptions / guardrails

- Current price is SGD 3.20 per litre; the supplier opens at SGD 3.62.
- Forecast demand is 12,000 litres monthly with a plus/minus 15% range.
- The alternative supplier can provide 7,000 litres at SGD 3.45 after a four-week onboarding period.
- A stock-out is estimated to reduce contribution by SGD 4,800 per day.

Questions

1. What are the organisation's must-have, target, tradeable and relationship outcomes?
2. What is the best credible BATNA, and what evidence is needed to validate it?
3. Which issues could create value beyond unit price?
4. What opening package and reservation point should the sponsor approve?

Detailed activity procedure

Step 1: Frame the decision

Write one decision statement naming the agreement, time horizon, parties and commercial purpose.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 2: Separate positions from interests

List each stated demand, then infer and label the likely operational or commercial interest behind it.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 3: Build the outcome hierarchy

Classify outcomes as must-have, target, tradeable or relationship; link each to evidence and an owner.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 4: Develop and value alternatives

Compare incumbent renewal, split supply and full transition using price, capacity, onboarding risk and disruption exposure.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 5: Set the negotiation range

Estimate the reservation point and a ZOPA hypothesis; state uncertainty instead of inventing precision.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 6: Prepare the opening package

Combine price, forecast sharing, minimum volume, service level and sustainability reporting in a conditional proposal.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Deliverable

A two-page preparation brief approved by the procurement sponsor.

Acceptance criteria

The brief states an evidence-backed BATNA and reservation point, covers at least five issues, and separates targets from authority limits.

Reflection and debrief questions

1. Which assumption changed your negotiation plan most, and why?
2. What evidence would you request before relying on the result?
3. Which stakeholder owns the next decision or approval?
4. What would you repeat or change in the next negotiation?

Source note

Source accessed 15 August 2026: https://asana.com/resources/negotiation-skills